



VIA EMAIL

October 31, 2019

Rachel E. Dickon, Secretary
Federal Maritime Commission
800 North Capitol Street NW
Washington, DC 20573-0001

RE: Comments in Response to Notice of Proposed Rulemaking (NPRM) titled "Interpretive Rule on Demurrage and Detention Under the Shipping Act," Dkt. No. 19-05, 84 Fed. Reg. 48850 (September 17, 2019)

Dear Madam Secretary:

The Florida Customs Brokers and Forwarders Association (FCBF), a non-profit founded in 1960, is an organization made up of over four-hundred (400) member companies from the Florida freight forwarding, customs brokerage, and related trade community. Through its variety of committees of working professionals, the FCBF represents our industry on matters that directly affect international trade. We are submitting this response in regards to the Federal Maritime Commission (FMC) notice seeking public comment on its proposed interpretation of the Shipping Act as it relates to demurrage and detention charges that may be found to be unreasonable.

We are in agreement with the NPRM that the purpose of demurrage and detention charges (D/D) is to incentivize the trade community to expedite the timely movement of import containers and railcars as soon as they are available. A container/railcar should only be considered as available when it is 1) off of the vessel/train; 2) assigned a spot in the terminal; 3) in an open area (not blocked by other equipment) which allows for pickup; 4) an appointment is available or not necessary; and 5) there are no government holds. Instead of being incentivized to move cargo, the import trade community is often penalized by having to pay such charges because equipment is not available for one or more of the reasons stated above and over which they have no control. We support electronic notification or posting of cargo availability date in which all 5 conditions were met. Thereafter, any remaining conditions necessary for release are the responsibility and within the control of the importer/broker and the incentive of avoiding additional charges becomes effective.

When it comes to export shipments, we recognize the validity of D/D and similar charges to encourage responsible and timely requests by exporters for carrier's equipment and terminal's space. Even when acting in good faith and booking/delivering equipment during the appropriate time window given by the carriers, however, there are occasions in which bookings are rolled to later time or date at the election of the carrier or due to vessel/schedule changes. In situations such as these, charges should not be assessed. This follows the same reasoning of incentivizing parties to be diligent in fulfilling their duties and obligations but not penalizing for circumstances or decisions over which they have no control.

Florida Customs Brokers & Forwarders Association, Inc.
8228 NW 14 St Doral, FL 33126
Ph: 305-499-9490 Fx: 305-499-9491
www.fcbf.com



In all cases involving D/D it is imperative to have complete transparency of and accountability for the charges being assessed as well as a dispute resolution process. Invoices should include information such as equipment number, related shipping document number, availability date, date D/D charges started, as well as a detailed per diem rate.

Such information will allow the entity responsible for such charges the ability to trace and confirm the validity of what they are being charged. Should there be any question, invoices also need to include a specific and designated point of contact who has the necessary information and authority to settle any dispute.

We thank the FMC in its efforts to address this issue. The proposed rule is in line with the FMC's core mission of ensuring a competitive and reliable international ocean transportation supply system that supports the U.S. economy and protects the public from unfair and deceptive practices.